S TUDY UNIT E TAXATION OF INDIVIDUALS STUDY UNIT

INTRODUCTION

	Income earned by individuals from their employment is subject to income taxes. Income from employment is, however, taxed differently from trade and investment income with the former being taxed on a sliding scale and the latter by applying a fixed rate. The sliding scale principle progressively increases the tax rate the more income is earned. The onus to compute and collect the income tax on the employment income lies with the employer and the tax is actually supposed to be paid as the employee earns it as opposed to waiting for the year-end tax assessment whereas with trade and investment a taxpayer is expected is still assessed annually but is expected to remit estimated taxes quarterly (QPDs). Given this background, it is imperative to be able to assess and separate employment income from trade and investment income of a taxpayer. This unit seeks to identify the employment income and address the taxation of such income.

OBJECTIVE OF STUDY UNIT

- Define employment Income [Sect 8(1)(b)] and 13th Schedule – The identification and taxation of employment income.
- Understand the concept of PAYE – The calculation and the responsibility for remitting PAYE.
- Employment benefits [Sect 8(1)(f)] – Inclusion of employment benefits into gross income.
- Tax implications of contributions and proceeds from Pension and Retirement Annuity Funds (RAF) [Sect 8(1)(n) & Sect 8(1)(r)].
- Tax concessions for the elderly (Taxpayer of the age of 55years and above).
- Exempt Income (Sect 14 & 3rd Schedule).
- Tax credits (Sect 7c)

STUDY MATERIAL

a) Tax legislation Handbook
b) Relevant Caselaw
c) Employment Tax video

COMPETENCE FRAMEWORK EXPECTATION

Professional competence

a) Ethical Behavior
b) Critical thinking skills
c) Problem solving skills

Refer to competence framework section of this module for expectations on Ethical behaviour, personal attributes and professional skills competences.

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Technical competences

VII-2. PREPARES TAX CALCULATIONS AND ADVISES ON TAX MATTERS IN ACCORDANCE WITH LEGAL REQUIREMENTS.		
COMPETENCE	REQUIREMENTS	LEVEL
1. Understands the taxpayer's tax profile	Collects basic information for the analysis of a taxpayer's tax profile regarding – • the form of the taxpayer, • the taxpayer's residency and liability for tax • the exposure to taxation associated with various forms of income (e.g. employment, trade, property, business, capital gain / loss, passive income) • the organisational structure (connected persons and group companies) Collects basic information for the analysis of a taxpayer's profile regarding environmental sustainability matters	Level X Level A
1. Calculates normal tax	Identifies and determines the components of taxable income. This includes – • classification of income from different sources • gross income • exempt income • deductions and allowances • taxable capital gains Calculate the normal tax payable by taking into account prepaid taxes. This includes for example – • employees' tax • provisional tax • withholding tax (in terms of s 35A) Determines and calculates the rebates to be deducted from tax payable	Level X

VII-2. PREPARES TAX CALCULATIONS AND ADVISES ON TAX MATTERS IN ACCORDANCE WITH LEGAL REQUIREMENTS.		
COMPETENCE	REQUIREMENTS	LEVEL
Identifies and discusses specific tax planning opportunities for taxpayers	Identifies and applies two or more options or alternatives, for example – • cash salary versus fringe benefits • shares, loans or dividends • tax implications of financial and estate planning alternatives for individuals • tax implications of retirement planning alternatives (e.g. lump sum vs annuity) Identifies the alternative courses of action with their corresponding opportunities and risks	Level I
Applies anti-avoidance legislation	Distinguishes between avoidance and evasion Identifies transactions possibly subject to anti-avoidance legislation Describes and explains the relevant anti-avoidance legislation provision(s) including the possible consequences	Level X
Applies and interprets tax legislation by applying relevant decisions of the Courts	Identifies the tax issue requiring interpretation Identifies and describes the relevant tax case law principle that is applicable to support the interpretation Applies the case law principles in advising and calculating taxes of taxpayers	Level I
Identifies standard compliance and filing requirements	Identifies the compliance and filing requirements and deadlines for the taxpayer in relation to normal taxes, VAT, wealth taxes and other taxes	Level I

VII-2. PREPARES TAX CALCULATIONS AND ADVISES ON TAX MATTERS IN ACCORDANCE WITH LEGAL REQUIREMENTS.		
COMPETENCE	REQUIREMENTS	LEVEL
Describes standard administrative requirements	Describes processes and routines required to ensure deadlines are met, including the timely analysis of assessments and reassessments Explains the basic filing information required Identifies relevant deadlines to be met and the consequences of failing to meet those deadlines, such as the timeous submission of returns	Level I

EXAMINATION POSSIBILITIES

Discussion and calculation questions that will require the student to demonstrate the appropriate level of competence as well as ability to link with other taxes.

ASSUMED KNOWLEDGE

We assume that your entry qualification has already taught you the mechanics of the computation of PAYE and therefore in this module emphasis is on identifying the relationships that constitute employer-employee relationships, calculation of tax on complex transactions such as retrenchments, understanding tax planning opportunities and administrative aspects of PAYE.

AREAS OF INTEGRATION

You shall be expected to integrate the knowledge obtained in other courses such as Financial Reporting and Managerial Accounting and Finance. You will be expected to understand the accounting of employee benefits, the accounting of share-based payments and of financial instruments. This topic can be examined from the perspective of the employer or of the employee hence the Financial Reporting knowledge. Managerial Accounting and Finance involves decision making and a lot of cost and economic analyses which involve decisions on remuneration of employees. This may pertain to structuring a payroll or contract negotiations with employees. The tax implications of such decision require knowledge from this topic. Overarching all the context may be set in audit environments and the remuneration of employees has fashionably become a high-risk area especially for directors and senior management.

COURSE NOTES

8.1.EMPLOYMENT INCOME *Section 8(1)(b)*

What is employment income?

This is income earned by an individual *in respect of services rendered* under *any contract of* employment and any amount received due to the cessation of employment.
Includes benefits - includes board, occupation of quarters or residence, or the use of furniture or motor vehicle. It also includes the use of or enjoyment of any other property whatsoever, corporeal or incorporeal, including a loan, an allowance, passage benefit and any other advantage or benefit whatsoever in lieu of or in the nature of remuneration as stated above.
Therefore, from the above definition employment income includes among others

- Salaries;
- Leave pay;
- Bonus;
- Gratuity on cessation of employment;
- Retrenchment packages;
- Commission earned as a result of employment;
- Pension;
- Superannuation allowance; and
- Commutation of a pension.

"Employee" includes a person who is a director of a company, agent or servant or is otherwise gainfully occupied and "employer", in relation to such person shall be construed accordingly.

Framework for the taxation of Employment Income	
Total employment Income [Sect 8 (1)(b)]	xxxx
Less Exempt income (Sect 14 & 3rd schedule)	(xxxx)
Income	xxxx
Less Allowable deduction (sect 15)	(xxxx)
Taxable Income	xxxx
Calculate tax using the tax tables	xxxx
Less Credits [Sect 7 (c)]	(xxxx)
Less PAYE (Remitted over the course of the year)	(xxxx)
Tax liability	*xxxx*

Are you an employee?

The distinction between an employee and a self-employed person or a consultant is important in law, particularly, tax law because:

- Employment income is taxed at different rates to business income
- Filing of returns and remittance of tax obligations differ between business income and employment income.

Where it happens that there is a contention as to whether an individual is an employee or a self-employed person, the courts apply a three-pronged test. The tests are:

- Control test
- Integration test
- Economic reality test (multiple test)

a) Control test

The test will involve considering the amount of control that one has over the other. If the degree of control is high it indicates a master-servant relationship, hence there is an employer-employee

relationship. When the degree of control is small the relation is considered that of self-employed-customer relationship.

b) Integration test

The control test may not be sufficient to establish the nature of relationship between two people for instance where one is hired to provide a service which is highly technical and the hirer has no skills in that area, such hires normally exercise a high degree of independence in executing their mandates. an integration test tests the extent to which the individual is integrated into the business of the alleged employer. if the work done by the individual is an integral part of the alleged employer then the individual is an employee, if however, the work done is not an integral part, then the individual is self-employed.

c) Economic reality test (multiple test)

The court may apply several tests to determine whether an employer-employee relationship exists. The following are some of the factors considered:

- The regularity and method of payment: employees are paid regularly, directly into their bank accounts.
- The regularity of hours of work- employees work for regular stipulated hours of work. Stipulated starting and knock-off times.
- The ability to delegate all the work. If an individual can delegate all the work to a subordinate, this would be an indication of self-employment. An employee must do the work that he has been employed to do, and cannot pass it over to someone else.
- Whether the person is obliged to be present, even if there is no work to be done (independent contractors only report to work if required, and chooses to)
- **Leave entitlement- employees are entitled to a leave whilst self-employment people have no leave entitlement.**

SPECIAL POINTS TO NOTE ABOUT SEC 8 (1) (b)

Bonus (3rd Schedule par 4)	A bonus or performance related award, e.g. profit share, accruing to an employee or agent in an employment or an agent/principal relationship is taxable as employment income, subject to an exemption. With effect from 1 November 2022, the exemption is ZWL500,000 (US$700) of aggregate bonus received or accruing to an employee in the assessment year.
Cash In Lieu of Leave [C.I.L.O.L.]	Cash in lieu of leave is gross income, despite any clause in the contract reserving an employer's right to pay such amounts. It accrues when an employee becomes entitled to the amount.

Retrenchment Payment (3rd schedule par 4)	Retrenchment payments meet the definition of gross income and are therefore taxable in terms of the income tax act. However, there is an exemption which amounts to the greater of the person's first $1,300,000 (or US$10,000) of the retrenchment package or a third of his package (up to a maximum of a third of $4,875,000 (or US $37,500)).
Gratuities – [Sect 8 (1)(b)]	A gratuity is fully taxable

Any amounts that is payable as award, compensation or benefit for services rendered is taxable (e.g. long service awards), unless the amount is paid to the employee, his family or his estate under the following circumstances: Under any law for sickness, injury disablement or death suffered in employment.

Under War Victims Compensation Act for personal injury, disablement or death.

In respect of injury, sickness or death which is paid by a trade union, benefit fund, medical society or an insurance company on a policy covering accident, sickness or death.

In terms of Wankie Disaster Relief Fund to employee or to employee's dependents. In terms of any law for employee's personal injury, even if paid as compensation for loss of a taxpayer's ability to earn income in the future.

Employment Benefits – Sec 8 (1) (f)

Also taxable under employment income are benefits accruing from employment. Generally, employment benefits are taxed with reference to;

a) in the case of the occupation or use of quarters, residence or furniture, by reference to its value to the employee; and
b) in the case of any other advantage or benefit, by reference to the cost to the employer: to the cost to the employer. Below is a summary of some specific employment benefits:

<table>
<tr><th>Benefit</th><th>Determination of taxable amount</th></tr>
<tr><td>Motoring benefit – Sect 8 (1) (f)</td><td>The benefit arises where the employee has private use of a company allocated vehicle.

The value of the benefit is determined with reference to the engine capacity of the motor vehicle. Refer to the appendix for deemed motoring benefit tables. The deemed benefit should be reduced proportionately where the period of use for the motor vehicle is less than 12 months.

<table>
<tr><th>Engine capacity of motor vehicle:</th><th>Deemed value/annum (ZWL) $</th><th>US$</th></tr>
<tr><td>Up to 1500cc:</td><td>312,500</td><td>625</td></tr>
<tr><td>Over 1500cc -2000cc:</td><td>415,000</td><td>830</td></tr>
<tr><td>Over 2000cc -3000cc:</td><td>625,000</td><td>1250</td></tr>
<tr><td>Over 3000cc:</td><td>830,000</td><td>1660</td></tr>
</table>

Example:
Melisa is employed by XYZ Ltd and as part of his employment contract has the free use of an Isuzu KB with an engine capacity of 3,000ccs. During the 2022 tax year Melisa had free use of the motor vehicle from April to December. Melisa also received a fuel allowance of $50,000 during the 2022 tax year. Calculate the deemed benefit arising to be included in gross income.

Solution
Potential benefit per table = $625,000
Limited to period used = $625,000*9/12
= $468,750

NB!!!! The fuel allowance ($50,000) is included in gross income for the 2022 tax year since it is an additional benefit to the free use of the Isuzu KB. Note that where the taxpayer proves that the fuel allowance was used for both business and private purposes, the portion used for private purpose is the only one included in Gross Income.</td></tr>
</table>

Benefit	Determination of taxable amount
Disposal of motor vehicle to an employee	In the case of a sale or disposal of a motor vehicle to an employee, whether during or on termination of employment, the deemed benefit shall be determined as follows: Benefit = A –B Where – A: Represents the market value of the motor vehicle. B: Represents the value at which the employee acquired the motor vehicle.
Passage benefit – Sect 8 (1) (f)	"Passage benefit" means so much as is borne of the cost or paid by an employer towards the cost of— (a) Any journey made by an employee, his spouse and children or one or more of them— • in connection with his taking up of employment, service, office or other gainful occupation; and • on the termination of his employment, service, office or other gainful occupation. (b) Any other journey made by an employee, his spouse and children or one or more of them in so far as that journey is not made for the purpose of a business transaction of the employer (e.g. where an employee goes on holiday and the employer foots the costs associated with the holiday). Exceptions to the general rule: A journey undertaken to take up employment (or on termination) is excluded if it represents the first time such benefit is granted by the employer to that employee.

Benefit	Determination of taxable amount
Occupation of residence & use of furniture– Sect 8(1)(f)	A benefit arises where the employer grants the employee free accommodation or pays subsidized rentals or rental charges which are below the open market rates applicable in that area. The benefit is determined with reference to the value to the employee. Where the employee does not pay anything towards that accommodation, the whole amount (determined based on the open market value) is a benefit and subject to tax. Where the open market value of rentals cannot be determined the benefit is calculated as **12.5%** of employee's gross basic salary. Where an employee pays rentals less than the open market value of the house/accommodation, the difference between the amount paid and the market value constitutes a benefit. Furniture provided by employer: For the purposes of calculating the deemed annual benefit, the amount to assess as the value of the furniture provided by an employer should be in general be 8% of the cost of the furniture. Example: Peter recently got married and his employer decided to lease him a fully furnished 2 bedroomed flat in the Avenues area of the Harare CBD. As part of the lease agreement Peter is supposed to pay a monthly rental of $4,000, the market related rentals for similar unfurnished flats is $7,000/month. The flat being leased to Peter was furnished at a total cost of $150,000 to the employer. During the 2022 tax year Peter occupied the Flat for the full 12 months. Calculate the total benefits to be included in gross income from the above scenario. Solution Residence benefit: = ($7,000-$4000) x 12 = $36,000 Free use of furniture: = $150,000 x 8% = $12,000

Benefit	Determination of taxable amount
Loan benefit – Sect 8 (1)(f)	Where the employer gives a loan to the employee (excluding loans for the purposes of the education, technical training or medical treatment of the employee, spouse or child). A benefit will only arise where the interest rate charged on the loan is lower than the prescribed rates of interest or the loan is not fully repaid. Where the Loan is USD$ excess of $100. The deemed benefit is 5% plus LIBOR less any interest paid. For Zimbabwean dollar, a benefit will arise if the amount of the loan exceeds ZWL8,000. **Example:** An employ obtains a car loan of ZWL500,000 with an interest of 7% payable in arrears. Calculate the deemed benefit arising from the granting of the loan. Assume LIBOR is 5.3%. **Solution:** Interest payable = $500,000*7% = $35,000 Interest @ LIBOR + 5% = $500,000*10.3% = $51,500 Therefore, deemed benefit = $51,500 - $35,000 = $16,500
Shares acquired pursuant to an employee share option scheme – Sec 8(1)(t)	The exercising of an offer to acquire shares pursuant to a share option scheme is a benefit and subject to income tax as PAYE. The benefit is calculated and accounted for as follows: For options granted before and exercised after 1 February 2009. The market value of the shares at the date the option is exercised will be added to the employee's remuneration from employment and taxed at the rate of 5% plus 3%AIDS levy. For options granted after 1 February 2009. The value of the benefit subject to PAYE is calculated as follows: **A – (B+C)** Where: A = Market value of shares at the time of exercise. B = Exercise price or strike price. C = The inflation allowance on strike price $C = \frac{(D - E) \times B}{E}$ D = Consumer price index (inflation rate) on date of share option exercise. E = Consumer price index (inflation rate) on date of share option offers.

Benefit	Determination of taxable amount
Educational assistance	A scholarship, a bursary or an educational assistance paid on behalf of a student receiving instruction at an educational establishment is tax exempt, unless provided as a reward for services rendered or to be rendered by the person or his/her near relative. The benefit is also exempt if it is paid to enable a person to pursue a study or research benefiting an employer.
School fees	Where an employer pays school fees on behalf of an employee for the education of the employee, spouse or children that is a benefit to an employee. The mere fact that the payment of the school fees is not made directly to the employee does not exclude it from the gross income of the employee. **See under "Loans", in respect of loans to employees for educational purposes.**
Free or subsidized lunches	Subsidized meals provided by an employer give rise to a taxable benefit. The benefit is cost to the employer reduced by amounts recovered from each employee. Exempted are meals or refreshments supplied by an employer during extended working hours or special occasions, or when the employee is entertaining business clients or someone on behalf of the employer.

Other considerations

a. Share Options

If a company grants an employee an option to take up its shares it is submitted that his/her tax position is, in the absence of specific provisions in the Act, as follows. Firstly, on the basis of a majority decision in the English case of Abbott v Philbin, HL (1960) 39 TC 82, where an employee is granted an option which is exercisable at any time and unconditionally:

i. no liability arises at the time the option is granted if the employee is required to pay at least the market value of the shares prevailing at the date of the grant;
ii. no liability arises upon subsequent exercise by the employee of the option if, during the delay, there has been an increase in the value of the shares;
iii. liability does arise at the time the option is granted if the price then is below the market value. There is an accrual of the difference, on which the employee is taxable regardless of whether he exercises the option. On the authority of the Appellate Division case of Mooi v SIR (1971) 34 SATC 1, the position may change if conditions are attached to the ability to exercise the option. There the employee was granted an option to subscribe for shares in the employer company, the price being the value at the date of the grant. He was, however, effectively required to serve the company for a further three years before the option became first exercisable. He was held to be liable, at the expiry of the period, on the increase in the value of the shares which had occurred in the meantime. Also, of relevance in the context of share options granted by an employer are the Zimbabwe cases of X v COT, Y v COT, Z v COT (1977) 40 SATC 21. In this case employees of a group of public companies took up options on shares available to them under the companies' staff

share-option schemes and re-sold the shares at a profit. They were held to be taxable on the profits as they had sold in pursuance of a scheme of profit making. (They would not have been liable on any profit had they, instead, sold the options.) These cases, however, are concerned with the taxability of profits on resale of shares acquired under option schemes and therefore clearly stood on a different footing from those above which related to amounts from the rendering of services.

b. Annuities

i. Any amount received or accrued by way of an annuity constitutes gross income.

ii. The nature of an annuity was considered in ITC 826 (1956) 21 SATC 189 at190, as follows:

a. "An annuity may be described as an annual payment in perpetuity for the life of the grantee or for a limited period …".

b. The following are the necessary characteristics of an annuity (ITC 761 (1952) 19SATC 103):

i. it must be claimable from another person or body. Ex gratia payments, even though determined annually, for example, do not constitute annuities: CIR v Watermeyer (1965) 27 SATC 117;

ii. it must be a fixed annual payment (which may be divided into, for example, monthly instalments);

iii. `it must be repetitive for a period. (See also KBI v Hogan (1993) 55 SATC 329.)

iii. An annuity may arise in various ways, such as by way of:

i. purchase from an insurance company;

ii. a gift or a legacy;

iii. a pension for services rendered;

iv. an "annuity on retirement"; or

v. a sale of assets.

The position as regards each of the above is as follows.

1. Where an annuity is purchased by the annuitant or his spouse the annuitant is taxable only on what may be termed the "interest content" of the annuity, i.e. after exclusion of such portion as, in the Commissioner's opinion represents a return of any purchase price. The formula used by the Commissioner to determine the "interest" and "capital" contents, respectively, of a purchased annuity, is not set out in the Act but is contained in departmental practice 34. The effect is illustrated in the following example.

Purchase price of annuity = $10,000,000
Annual receipts = $2,100,000
Expected number of years payable = 10
Annual interest content therefore =$1,100,000

The number of years may, depending on the terms of the contract, be fixed, or, in the case of a life annuity, the figure used by the insurance company when establishing the price at the time of purchase. In the latter case, if the annuitant survives beyond the expectation of life, subsequent receipts are taxable in full as the capital cost will by then have been allowed.

2. An annuity by way of gift or legacy is taxable in full. This applies regardless of whether the annuity is paid partly out of capital (CIR v

Milstein (1942)11 SATC 279) (for example by trustees administering a bequest) or out of exempt income (section 14 (3) of the Act and COT v R (1966) 28 SATC 115).

3. Where the annuity is in the form of a pension for services rendered it is taxable in full if either there is no "cost", as in the case of a pension from a non-contributory fund, or if the cost by way of the employee's contributions has been allowed in full. If his contributions have not been allowed in full, probably, as commonly occurs, by reason of their having exceeded the maximum amount deductible in any year, the aggregate of the disallowances is deductible, under the same formula as in (1), from the time the pension starts to run.

Example: An employee who is about to retire at 31 December is entitled to a pension of $720,000 a year from his employer's fund. The employee's contributions to such fund have in recent years exceeded the deductible limit in his hands. The aggregate of the disallowances is established at $300,000. His life expectancy is 12 years.

Solution

Pension	$720,000
Less	$ 25,000 [1 and 2]
Taxable	$695,000 [3]

Notes:

(1) The instalments of $25,000(300,000/12yrs) are deductible in the hands of the pensioner/annuitant or, in the event of his intervening death, his surviving spouse receiving a related pension or annuity.

(2) The deductible amount ($300,000) would be reduced proportionately in the event of commutation.

(3) This may be subject to partial exemption.

4. An annuity constituting an "annuity on retirement" (i.e. purchased out of a lump sum payment from a pension fund) is taxable in full.
5. Where a sale of assets arises one must distinguish between an annuity and a sale price receivable in instalments. If, for example, X sells a farm to Y for $5,000,000 and the contract requires Y to pay the $5,000,000 in ten annual instalments of $500,000 it is submitted that the instalments do not constitute an annuity. If, on the other hand, X sells the farm, worth $5,000,000 with the stipulation that Y pays X $500,000 annually for life, it is submitted that the annual payments will constitute an annuity. In the latter instance, on the authority of L v COT (1951) 18 SATC 137, the $5,000,000 may qualify for acceptance as the purchase price for the purposes of the application of the formula referred to in (1) above.

NSSA AND OTHER PENSIONS FUNDS

Pension fund – Sect 2	Means: A fund established by any law for providing, amongst other things, annuities or pensions on superannuation or retirement; or A fund registered or provisionally registered as a pension fund or retirement annuity fund under the Pension and Provident Funds Act [Chapter 24:09]. From the above definition a *Retirement Annuity Fund* is a type of pension fund only if it is registered.
Retirement annuity fund (RAF)	This is a pension that is purchased from an insurance company and the scheme's purpose is to provide the employee with a pension on retirement, just like a pension fund.
NSSA	This is a social benefit scheme (pension fund) established in 1994. The scheme is compulsory, and all employers and employees should contribute to NSSA.
Benefit fund	Means a scheme or fund approved by the Commissioner in respect of the year of assessment in terms of subsection (1) of section thirteen; or a fund registered or provisionally registered as a provident fund under the Pension and Provident Funds Act [Chapter 24:09].
Insurable earnings	Employee's basic salary exclusive of any fringe benefits or any other form of remuneration.

Key Definitions

NSSA

NSSA contributions are made by every person in formal employment excluding domestic workers. The employee and the employer are required to contribute 4.5% of the employee's insurable earnings to NSSA. The maximum amount of monthly insurable earnings in respect of which contributions are payable shall be 75% of the previous month's Total Consumption Poverty Line (TCPL) for an average of five persons per household. The maximum insurable earnings for NSSA pension contributions are currently at ZWL500,966 per month for the period January 2023 to March 2023. The maximum insurable earnings are subject to quarterly reviews. The national TCPL figures are published by Zimbabwe National Statistics Agency (ZIMSTAT) and are made available by NSSA on the first day of each month on its website.

NB: The TCPL will be provided for the purposes of your CTA examinations.

Example:

During the 2022 year of assessment Cleopatra was entitled to a total gross basic salary of $1,500,000 earned evenly for the 7 months she worked from 1 June.

Insurable earnings ceiling from the month of June 2022 was $21,641.25 and it remained constant for the rest of the year.

Calculate her NSSA contributions.

$

Cleopatra's contribution (deducted from her salary);
June to December = (4.5%*21641.25*7) = ZWL6,817

EXAM TIP!

- *The total contribution deducted from Cleopatra's salary will be allowed as deduction against her taxable income for the purposes of calculating PAYE.*
- *The contribution made by the employer will be allowed as a deduction against the employer's/company's taxable income for the purpose of calculating corporate tax payable.*
- *The portion paid by the employer for the benefit of the employee is an exempt benefit in the hands of the employee.*

NSSA receipts

Pension receipts from NSSA accruing to members are treated in the same manner as those from a pension fund. See below.

Pension and Retirement Annuity Funds

Pension funds (see definition above) are required to be registered in terms of the Pension and Provident Fund Act (Chapter 24:09). NSSA is a type of pension fund. However other companies or industries may set up their own private pension or annuity schemes for example Communications and Allied Industries Pension Fund (CAIPF).

Fund	Maximum	USD$
In relation to an employee: Pension fund contributions other than to a RAF. 6th schedule para 15	The lesser of ZWL1,500,000 per annum or 7.5% of the members emoluments.	$5,400 per annum
In relation to an employer: Pension fund contributions other than to a RAF. 6th schedule para 10	The lesser of contributions or ZWL1,500,000	$5,400per annum
Employee RAF contributions.6th schedule para. 16	The lesser of ZWL1,500,000 per annum or 7.5% of the members emoluments.	$5,400 per annum
Employer RAF contributions.	Disallowed.	
Aggregate maximum contributions to two or more pension funds other than RAFs.6th schedule para 18(2)	ZWL1,500,000	$5,400 per annum
Aggregate maximum contributions to two or more RAFs. 6th schedule para 18(2)	The lesser of sum of contributions or ZWL1,500,000	$5,400 per annum

Pension receipts (other than receipts from a RAF)

On retirement an employee is eligible to receive a pension from the fund to which they were making contributions. The pension receipts will come in either of two forms i.e. an annuity or lump sum.

If the pension includes any amount of contributions which were previously disallowed as a deduction the pension will only be taxable to the extent of contributions which would have been allowed as a deduction.

1. Pension annuity – sect 8 (1) (a)

This is a pension that accrues to a person from a pension fund to which the taxpayer had been making contributions to during their lifetime.

In the case of a pension annuity the sum is taxable in equal streams in each year until the person dies.

The pension is taxable in full on receipt or accrual basis, subject to certain adjustments.

The amount which was (disallowed contribution) not allowed as deduction during the time of contribution will be received tax free where it is included in the pension being received. The disallowed portion should be deducted equally over the life of the pension from the annual pension being received.

Alice Medusa who is 44 years, old retired on 1 September 2022. She was employed by Tendon Accounting Services (Pvt) Limited, since 2010. Her employer contributes 50% to Old Mutual pension fund for its employees. Over the years Alice's contribution exceeded the limit by $350,000. She will be receiving $10,000p.m. in arrears with effect from 25 September 2022. Her life expectancy is 10 years. Compute her taxable income for 2022 tax year.

Solution	
Determination of taxable income for the year ended 31 Dec 2022	
Gross pension accrual/receipt [10, 000.00x4 months]	*40 000.00*
Less Disallowable portion [350 000/ 120 months x 4 months]	*(11 666.80)*
Taxable income	*28 333.20*

A deemed Zimbabwe source arises in respect of any pension or annuity for services rendered by the taxpayer within or deemed to be within Zimbabwe, regardless of whether he has remained ordinarily resident in Zimbabwe at the time of receipt. A (non-Government) pension or annuity is apportioned in the ratio of the services performed within and outside Zimbabwe. This applies, however, only where the pension or annuity is received by the person who rendered the services. Thus, a widow receiving a widow's pension from a non-Zimbabwe fund would not be taxable in Zimbabwe since she would not have rendered any services in this country.

2. Pension lump sum – sect 8 (1) (r)

In terms of section 8(1)(r) to the Income Tax Act any amount received by way of commutation (lump sum) of a pension or annuity which is payable from the Consolidated Revenue Fund or a pension fund, other than a retirement annuity fund is fully taxable.

However, per the 3rd Schedule Paragraph 6 (h1), the lumpsum amount is exempt to the extent of the $5,000,000 or 1/3rd of such amount (whichever is the greater) of the amount which is paid to the employee on the cessation of his or her employment, where his or her employment has ceased due to retrenchment. The exemption is applied to a package up to the max of $18,750,000.

Example:

During the 2022 year of assessment Tanaka received a commutation of $1,500,000 from a pension fund to which he was a member of during his time of employment. His total taxable income for 2022 before taking into account the commutation is $900,000.
Calculate the tax chargeable on the pension commutation.

Solution:

The highest marginal tax rate on the $900,000 is 35% (refer to PAYE tables)	$
Tax charge on the commutation ($900,000 * 35%)	ZWL315,000

RAF receipts

1. Annuity

This is taxed in the same manner as an annuity received from a pension fund as discussed above.

2. Lump sum or commutation receipts – sect 8 (1) (n)

The section is the authority for commutation of pension from a retirement annuity fund (RAF). This where a taxpayer elects to receive a lump sum amount in the year of retirement and a reduced stream of equal pension until the person dies. The amount to be taxable is arrived at after taking off 1/3 of the member's pension entitlement in the first year of receiving the lump sum amount. The 1/3 of pension entitlement is referred to as a commutation and is regarded to be of a capital nature.

To be availed a commutation it is necessary that a taxpayer should elect. Pension entitlement is what the taxpayer is expected to receive over their life expectancy.

Example

Mike retired on 30 September 2022 and will be receiving a lump sum payment $250,000 from a retirement annuity fund as pension. His pension entitlement is $570,000. How much is taxable in his hands?

Solution	
Lump sum payment	250,000
Less 1/3 of pension entitlement [570,000 x/1/3]	190,000
Taxable income	60,000

Any amount brought into gross income under this section is charged to tax at a special rate (the taxpayers' highest marginal tax rate).

Section 8(1) (b) Income from Services Rendered or To Be Rendered –

This includes salary, bonus, director's fees, compensation for leave due but not taken and any other form of reward e.g. benefits which are directly related to the rendering of services regard- less of whether the payment is voluntary or contractual. Note that the word — amount means not only money but also any other property, corporeal or incorporeal, having an ascertainable money value.

Leave pay shall be deemed to accrue proportionately on the last day of each month of the leave period.

Exemptions (on employment income) – Sect 14 and 3rd Schedule

- Bonus or performance related award up to $500,000 OR (US$700)
- 50% of the amount waived in respect of tuition and boarding fees and levies payable by a member of the teaching and non-teaching staff of a school for up to three of their children.
- the first $1,300,000 (US$10,000) or one-third, whichever is the greater, of the amount of any severance pay, gratuity or similar benefit, other than a pension or cash in lieu of leave, which is paid to an employee on the cessation of his or her employment, where his or her employment has ceased due to retrenchment under a scheme approved by the Minister responsible for Labour or the Public Service. The exemption shall apply only in respect of the first $1,300,000 (US$10,000) of any such pay, gratuity or benefit payable to him or her in any one year of assessment.
- An amount received by or accrued to or in favour of an employee participating in an approved employee share ownership trust from the sale to or redemption by the trust of any stock, shares, debentures, units or other interest of the employee in the scheme or trust of any stock, shares, debentures, units or other interest of the employee in the trust.
- Income from which residents' tax on interest is to be withheld.
- Medical expenses, medical treatment (including related travel), invalid appliances and the cost of medical aid contributions paid by an employer for an employee, his spouse and mi- nor children.
- Rewards paid by the Commissioner General for information leading to the recovery of taxation revenue.
- Allowances for accommodation and transport and grants of quarters or housing for staff of district hospitals or rural clinics owned, operated or sponsored by a religious body or a rural district council.
- Subscriptions in respect of an employee's continued membership of business, trade, technical or professional i.e., ACCA, CIS etc. paid on behalf of the employee by the employer are exempted, but not club subscriptions i.e., sports club.
- Contributions paid by an employer to a pension fund or RAF e.g., NSSA contributions
- An amount accruing by way of a benefit in respect of the injury, sickness or death of a person which is paid to the person or his dependents or deceased estate—
    (a) By a trade union; or
    (b) From a benefit fund; or
    (c) In terms of a policy of insurance covering accident, sickness or death; or
    (d) By a medical aid society.
- An amount received by or accrued to or in favour of a person by way of a dividend from a company which is incorporated in Zimbabwe and is charged or chargeable to income tax.
- An amount received by way of alimony, howsoever paid.
- An award, benefit or compensation, including a pension, to any person or his dependents or heirs under any law in respect of injury, disease, disablement or death suffered in employment.
- Civil servants are exempted on most of the benefits they receive from employment with the State. The benefits that are exempt include allowances, transport allowance, housing allowance or benefits etc.

Individuals exempt from Income tax

- President – salary and emoluments paid in respect of his office and a member of staff of the President if the President pays such salary and emoluments.
- Allowances paid to the spouse of the President or Vice President in respect of duties the spouse performs for or on behalf of the state.

- Salary and emoluments of persons or officials of UN organs and its agencies is also exempt.
- Allowances granted to Senior Government Officials, Minister, Deputy Minister, Provincial Governor, the Speaker and Deputy Speaker.
- Allowances or value of any benefit, which is granted to any person in full time employment of the State as specified in a Statutory Instrument e.g., housing and transport allowances.
- Allowances payable to a Chief or Headman.
- Allowances payable by the State to a person in its service in respect of the expenditure incurred by the person in the discharge of his duties outside Zimbabwe.
- So much of the expenditure of the person in maintaining himself, his family or establishment whilst employed on duty outside Zimbabwe as is in excess of his normal expenditure if he were employed in Zimbabwe.

CREDITS – SEC 7 (c) & THE CHARGING ACT

	Elderly	Blind	Medical	Mentally or Physically
Apportionment of credit where year of assessment is less than 12 months.	Yes	No – (claim in full)	No – (claim in full)	No – (Claim in full)
Transfer between	No	Yes	No	Yes
Blind child				Grant credit
Taxpayer not ordinarily resident in Zimbabwe	Grant credit	Grant credit	Grant credit only in respect of medical aid	No credit
Blind taxpayer		Grant credit		
Medical expenses for a child who is no longer a			Grant credit only in respect of invalid appliances or	

Key definitions

Invalid appliances or fit-tings include:	• Wheelchairs • An artificial limb or crutch • Spectacles or contact lenses • Modification to a motor vehicle or house to enable use by a person with a physical disability.

Medical expenses include:	• Cost of purchase invalid appliances for the tax payer, spouse or any child. • Services rendered to a taxpayer, spouse or minor children by a medical or dental practitioner. • The cost of prescription drugs supplied to a taxpayer, spouse or minor children. • Cost of hospital accommodation, X ray, lab tests and the like for the taxpayer, spouse or minor child. • Medical aid contributions in respect of a taxpayer, spouse or minor children.
Child	Includes a step-child and a lawfully adopted child;
Lawful minor child	In relation to a taxpayer, means a lawful child of the tax- payer who— (a) was under the age of 17 years on the last day of the immediately preceding year of assessment; or (b) is born in the year of assessment; or (c) was under the age of 25 immediately prior to the commencement of the year of assessment and receives during any part of the year of assessment full-time instruction as a student at any educational institution.
Minor child	Means a child who is under 18 years of age and is un- married.

ADMINISTRATION OF PAYE

Any resident or non-resident employer, who employs one or more members of staff whose gross pay, including benefits and allowances, exceeds ZWL 10,000 per month or the daily, weekly or annual equivalent, is required to register with the relevant Regional Manager of the Zimbabwe Revenue Authority (ZIMRA), withhold PAYE from employees and remit PAYE to the Com- missioner General by the 10th of the month following the deduction.

- Employers are responsible for under deductions as well as late payment of PAYE.
- Interest is charged and penalties of up to 100% of the unpaid tax can be imposed on the employer.
- Personnel employed by a single employer for the full fiscal period are taxed on the Final Deduction System.
- PAYE will be a final tax on employment income for the employee who will then not be required to complete tax returns.

- Personnel employed by more than one employer or employed for part of a fiscal period and all individuals who receive pensions or annuities or taxable income from trade and investment are required to complete and submit annual tax returns.

ZIMBABWE REVENUE AUTHORITY RTGS PAY AS YOU EARN (PAYE) TABLES FOR JANUARY TO DECEMBER 2023



DAILY TABLE								Example
				Rates				If an employee earns
from	-	to	3,013.70	multiply by	0%	Deduct	-	$4000 per day
from	3,013.71	to	10,520.55	multiply by	20%	Deduct	602.74	The tax will be calculated thus:
from	10,520.56	to	18,016.44	multiply by	25%	Deduct	1,128.77	
from	18,016.45	to	25,512.33	multiply by	30%	Deduct	2,029.59	$4000 x 20% -$602.74 =
from	25,512.34	to	32,876.71	multiply by	35%	Deduct	3,305.21	197.26 per day
from	32,876.72	and above		multiply by	40%	Deduct	4,949.04	

WEEKLY TABLE								Example
				Rates				If an employee earns
from	-	to	21,153.85	multiply by	0%	Deduct	-	$25000 per week
from	21,153.86	to	73,846.15	multiply by	20%	Deduct	4,230.77	The tax will be calculated thus:
from	73,846.16	to	126,461.54	multiply by	25%	Deduct	7,923.08	
from	126,461.55	to	179,076.92	multiply by	30%	Deduct	14,246.15	$25000 x 20% -$4,230.77 =
from	179,076.93	to	230,769.23	multiply by	35%	Deduct	23,200.00	$769.23 per week
from	230,769.24	and above		multiply by	40%	Deduct	34,738.46	

FORTNIGHTLY TABLE								Example
				Rates				If an employee earns
from	-	to	42,307.69	multiply by	0%	Deduct	-	$70 800 per fortnight
from	42,307.70	to	147,692.31	multiply by	20%	Deduct	8,461.54	The tax will be calculated thus:
from	147,692.32	to	252,923.08	multiply by	25%	Deduct	15,846.15	
from	252,923.09	to	358,153.85	multiply by	30%	Deduct	28,492.31	$70 800 x 20%-$8,461.54
from	358,153.86	to	461,538.46	multiply by	35%	Deduct	46,400.00	$5,698.46 per fortnight
from	461,538.47	and above		multiply by	40%	Deduct	69,476.92	

MONTHLY TABLE								Example
				Rates				If an employee earns
from	-	to	91,666.67	multiply by	0%		-	$350 000 per month
from	91,666.68	to	320,000.00	multiply by	20%	Deduct	18,333.33	The tax will be calculated thus:
from	320,000.01	to	548,000.00	multiply by	25%	Deduct	34,333.33	
from	548,000.01	to	776,000.00	multiply by	30%	Deduct	61,733.33	$350 000 x 25% - $34,333.33 =
from	776,000.01	to	1,000,000.00	multiply by	35%	Deduct	100,533.33	$53,166.67 per month
from	1,000,000.01	and above		multiply by	40%	Deduct	150,533.33	

ANNUAL TABLE								Example
				Rates				If an employee earns
from	-	to	1,100,000.00	multiply by	0%	Deduct	-	$9 500 000 per year
from	1,100,001.00	to	3,840,000.00	multiply by	20%	Deduct	220,000.00	The tax will be calculated thus:
from	3,840,001.00	to	6,576,000.00	multiply by	25%	Deduct	412,000.00	
from	6,576,001.00	to	9,312,000.00	multiply by	30%	Deduct	740,800.00	$9 500 000 x 35%-$1,206,400.00
from	9,312,001.00	to	12,000,000.00	multiply by	35%	Deduct	1,206,400.00	$2,118,600.00 per annum
from	12,000,001.00	and above		multiply by	40%	Deduct	1,806,400.00	

Aids Levy is 3% of the Individuals' Tax payable

ZIMBABWE REVENUE AUTHORITY

PAY AS YOU EARN (PAYE) FOREIGN CURRENCY TAX TABLES FOR JANUARY TO DECEMBER 2023

DAILY TABLE								Example	
			Rates					If an employee earns	
from	-	to	3.29	multiply by	0%	Deduct	-	$9 per day	
from	3.30	to	9.86	multiply by	20%	Deduct	0.66	The tax will be calculated thus:	
from	9.87	to	32.88	multiply by	25%	Deduct	1.15		
from	32.89	to	65.75	multiply by	30%	Deduct	2.79	$9.00 x 20% -$0.66	1.14
from	65.76	to	98.63	multiply by	35%	Deduct	6.08	US$1.14	
from	98.64	and above		multiply by	40%	Deduct	11.01		
WEEKLY TABLE								Example	
			Rates					If an employee earns	
from	-	to	23.08	multiply by	0%	Deduct	-	$65 per week	
from	23.09	to	69.23	multiply by	20%	Deduct	4.62	The tax will be calculated thus:	
from	69.24	to	230.77	multiply by	25%	Deduct	8.08		
from	230.78	to	461.54	multiply by	30%	Deduct	19.62	$65 x 20% -$4.62	8.38
from	461.55	to	692.31	multiply by	35%	Deduct	42.69	US$8.38	
from	692.32	and above		multiply by	40%	Deduct	77.31		
FORTNIGHTLY TABLE								Example	
			Rates					If an employee earns	
from	-	to	46.15	multiply by	0%	Deduct	-	$420 per fortnight	
from	46.16	to	138.46	multiply by	20%	Deduct	9.23	The tax will be calculated thus:	
from	138.47	to	461.54	multiply by	25%	Deduct	16.15		
from	461.55	to	923.08	multiply by	30%	Deduct	39.23	$420 x 25%-$16.15	88.85
from	923.09	to	1,384.62	multiply by	35%	Deduct	85.38	US$88.85	
from	1,384.63	and above		multiply by	40%	Deduct	154.62		
MONTHLY TABLE								Example	
			Rates					If an employee earns	
from	-	to	100.00	multiply by	0%		-	$1 800 per month	
from	100.01	to	300.00	multiply by	20%	Deduct	20.00	The tax will be calculated thus:	
from	300.01	to	1,000.00	multiply by	25%	Deduct	35.00		
from	1,000.01	to	2,000.00	multiply by	30%	Deduct	85.00	$1 800 x 30% - $85.00 =	455.00
from	2,000.01	to	3,000.00	multiply by	35%	Deduct	185.00	US$455.00	
from	3,000.01	and above		multiply by	40%	Deduct	335.00		
ANNUAL TABLE								Example	
			Rates					If an employee earns	
from	0	to	1,200.00	multiply by	0%	Deduct	-	$32 000 per year	
from	1,201	to	3,600.00	multiply by	20%	Deduct	240	The tax will be calculated thus:	
from	3,601	to	12,000.00	multiply by	25%	Deduct	420		
from	12,001	to	24,000.00	multiply by	30%	Deduct	1,020	$32 000 x 35%-$2 220.00	8,980
from	24,001	to	36,000.00	multiply by	35%	Deduct	2,220	US$8,980.00	
from	36,001	and above		multiply by	40%	Deduct	4,020		

Aids Levy is 3% of the Individuals' Tax payable

CAPITAL GAINS TAX FOR AN INDIVIDUAL

Capital Gains Tax (CGT) is a tax levied on the capital gain arising from the disposal of a specified asset by an individual. The same rules for CGT which apply to a corporate apply to an individual for CGT, hence refer to Taxation of Corporates Study Unit.

End of Study unit practice question

Janet Janet Katumbu

(all the transactions on Janet Katumbu have been correctly included in the taxable income for Hurudza and no adjustments are necessary)

Janet Katumbu () is one of Hurudza' s oldest employees, retired on the 31st of October 2022, at the age of 53 years due to a work-related accident that left her blind (she was classified as blind on the 1st of September 2022). Janet is married and has two children, Jophta and Amy, who are 23 years and 18 years old respectively.Janet owns two houses, one is in Botswana in Francis Town and one in Harare, Zimbabwe.

The following relates to Janet for the period ending on 31 December 2022:

1. Earns a salary of ZWL$73,000 a month. For the last three months of her employment Janet did not work as she was undergoing treatment on her eyes after an accident at work but still received her full salary.
2. After retirement Hurudza promised to pay Janet, monthly, a third of her monthly salary as compensation for the accident for the next 10 years.
3. Each and every year Hurudza employees receive a bonus equal to three times their monthly salary; on 31 October 2022 Janet was paid a pro rata bonus of ZWL$132,500.
4. Hurudza and Janet both contributed ZWL$6,000 a month to a medical aid fund in respect of Janet 's membership. After retirement Hurudza decided to contribute the full amount to Janet 's medical aid for a period of 10 years.
5. During the 2022 year of assessment Janet had use of a double cab Ford Ranger with an engine capacity of 3600ccs, which she used for both business and private purposes. In terms of her contract of employment Janet received a cash fuel allowance of ZWL$2,000 monthly. Provided below is a detail of the mileage travelled during the period January to October.

Business Travel	25,000 km
Personal Travel	15,000 km
Total	40,000 km

6. On 31 October when Janet retired, she bought the Ford Ranger she had been using. The cash value/market value of the Ford Ranger was ZWL$150,000 but Janet bought it on the following terms:
    - She would pay $75,000 a year for the next 2 years starting 31 Dec 2022.

- As part of the sale agreement Janet 's employer agreed to continue to service the car until Janet had paid it off.
- They would however not repair any damages that are caused by accidents.

For the first 4 months of the year Janet worked at the Botswana branch and received a subsistence allowance of 1,000 Pula (BWP) a month, from the Botswana branch, over and above her salary which was paid into her Zimbabwe account.

- Retirement fund benefits

When she retired on 31 October 2022 Janet was paid a lump sum of ZWL$1,200,000 by the retirement annuity fund and from 30 November 2022 , she will receive a monthly pension of ZWL$150,000. Her total pension entitlement amounted to ZWL$27,000,000. The total contributions he made over the 30 years amounted to ZWL $15,000,000. For the 10 months to October Janet had contributed ZWL$223,500 and Hurudza had matched that contribution.

Up to 31 December 2022 the following contributions to the retirement annuity fund made by Janet had not been allowed as a deduction:

	ZWL$
1 January 2000 - 31 December 2005:	115,000
1 January 2006 - 31 December 2015:	178,500
1 January 2016 - 31 December 2018:	233,000
1 January 2019 – 31 October 2022 :	57,500
Total	584,000

7. Janet withdrew from an unapproved fund on 31 October 2022 and received a lump sum payment of ZWL$600,000 which she invested, ZWL$100,000 in a unit trust and ZWL$500,000 he deposited in POSB savings account. POSB pays out 10% monthly interest on all account balances in savings accounts, between October and December Janet did not withdraw any amounts from her savings account. Her total entitlement from the Pension fund amounted to ZWL$1,500,000. From 31 October 2022 she would receive a monthly payment of ZWL$6,000 from the pension fund until her death. She had been contributing ZWL$120,000 a year for the past 10 years and the whole ZWL$120,000 was not allowed as a deduction.

Other information

- Janet also earned rentals amounting to $444,100 every month from her Botswana house.
- Janet owns 10,000 shares in Korona Pvt (Ltd), a locally listed company, which declared a dividend at the end of 31 December 2022 of 500c per share.
- Janet incurred medical expenses of $170,000 during the year of assessment, of which $70,000 were covered by the medical aid fund. Janet also bought an electric wheelchair worth $350,000 for her husband who was involved in an accident in June 2022 in which He lost his legs and could no longer work.
- The BWP was trading at the following rates for the first four months of 2022 .

Date	BWP: ZWL
31 January	5.78
28 February	6.53
31 March	8.40
30 April	11.96
Average rate for the 4 months	8.17

REQUIRED

Calculate, with brief notes, the Income Tax Payable for Janet Katumbu for the 2022 year of assessment.	48	50
Communication: Presentation & Layout	2	

Suggested Solution

C. Calculate, with brief notes, the Income Tax Payable for Janet Katumbu for the 2022 year of assessment. *Presentation*						
Salary [73,000*10]	*1*	*Section 8 (1)b*	*1*		730,000	
Compensation (73 000*1/3*2)		*Section 8(1)(b)*	*1*		48,667	*1*
Bonus [132,500 – 100,000]	*1*	*Section 8 (1) b3rd Sch, para 4*	*1*		32,500	
Employer Contribution to Medical Aid		*Exempt 3rd schedule par 8(2)*	*1*		0	*1*
Employer Contribution to Retirement annuity fund		*section 8(1)f*	*1*		223,500	*1*

RAF contribution		*Section 15(2)(h) arw 6th sch*	*1*		(390,000)	*1*
Unapproved fund contribution		*Deduction not allowed*	*1*		0	*1*
Motor Vehicle use benefit >3,000cc [830 000/12*10]	*1*	*Section 8 (1) (f)*	*1*		691,667	
Fuel Allowance - Private [2,000*10*15000/40,000]	*1.5*	*Section 8 (1) (f)*	*1*		7,500	
Fuel Allowance - Business		*No benefit Section 8(1)f*	*1*		0	*1*
MV purchase benefit		*No benefit Section 8(1)f*	*1*		0	*1*
Subsistence allowance (see alternative calc) [1,000*5.78 + 1,000*6.53 + 1,000*8.4 + 1000*11.96]	*2.5*	Deemed source Zimbabwe (sec 10)	*1*		32,870	
RAF Lumpsum		*(Does not exceed Section 8 (1)n limit 1)*	*1*		0	*0.5*
Monthly unapproved Fund Annuity		*Section 8 (1)a*	*1*		0	*0.5*
Unapproved Fund lumpsum		*Taxed at highest marginal rate*	*1*		0	*0.5*
Employment Income					1,730,074	
Tax per tables:					ZWL	
Tax payable		(1,730,074*30 - 42,000)			477,022	*1*
Unapproved Fund Lumpsum (240,000-(240,000*(120/150)]*30%	*2*	*Section 8(1)c arw 1st sch par 10*	*1*		14,400	
Trade & Investments Income						
Rentals		*Source outside zim*	*1*		*0*	*1*

Dividend		*Exempt 3rd schedule, para 9*	*1*		*0*	*1*
Investing in unit trust		*Capital in nature*	*1*		*0*	*1*
Interest POSB		*Exempt 3rd schedule*	*1*		*0*	*1*
Medical Expenses		*Section 16 - domestic expenses*	*1*		*0*	*1*
Total					*0*	
Tax @ 24%					0[c]	*0.5*
Total Tax before credits (A+B+C)					491,422	*0.5*
Tax Credits:						
Medical Aid Credit [6000*12*50%]	*1.5*	*Sec 7 (c) arw Charging Act*	*1*		-36,000	
Medical Expenses Credit [((170,000-70,000)+350,000) *50%]	*2*	*Sec 7 (c) arw Charging Act*	*1*		-225,000	
Blind person's credit		*Sec 2 ITA: does not qualify*	*1*		0	*1*
Total after credits					230,422	
AIDS Levy @ 3%	*1*				6913	*0.5*
Total Income Tax Payable					237,335	
Available	*9*		*24*			*16*